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IN THE MATTER OF CASPIAN TECHNOLOGIES LIMITED v HARBURN UTILITIES PLC

Claim No. CL-2026-000204

ADVICE ON MERITS AND QUANTUM

Introduction

1. I am asked to advise Caspian Technologies Limited ("Caspian") on the merits of its claim against Harburn Utilities plc ("Harburn") and on the realistic level of recovery, in advance of the case management conference and the parties' exchange of costs budgets.

2. In summary: Caspian's claim for the £669,000 of unpaid invoices is strong and, in my view, very likely to succeed. Its claim for damages for wrongful repudiation is good but more sensitive to the factual dispute about platform performance and to the operation of the liability cap. Harburn's counterclaim is, on the present material, weak, but it cannot be dismissed at this stage and provides Harburn with negotiating leverage.

The debt claim

3. The four invoices totalling £669,000 are admitted by Harburn as unpaid. Harburn's only answer is set-off and abatement by reference to its counterclaim. Unless the counterclaim succeeds in a substantial amount, the debt claim should be recovered in full, with contractual interest under clause 7.5. There is a respectable argument that the subscription fee, being a payment obligation, falls outside the clause 9.4 cap altogether.

Wrongful termination and the SLA exclusive remedy

4. The pleaded battleground is whether Harburn's complaints were (a) availability matters, for which Schedule 3 service credits were the sole and exclusive remedy, or (b) defects going to fitness for purpose, outside that regime. Our case is that the availability figures (≥99.83% throughout) are unanswerable and that Harburn never invoked the service-credit machinery or served a clause 14.2 remedy notice. Harburn's recharacterisation of its complaints as 'data-integrity' defects is, I consider, an attempt to escape the exclusive-remedy provision and should be tested rigorously on disclosure.

5. The contemporaneous documents will be decisive. The monthly service reports, the absence of any service-credit claim, the Go-Live Acceptance Certificate, and (importantly) the internal Harburn documents relating to its cost-reduction programme and the budgetary treatment of the subscription should be sought under Models C/D. If, as Caspian believes, the termination was budget-driven, that materially strengthens the repudiation case.

Quantum and the liability cap

6. The loss-of-bargain claim is now quantified at £760,950, being the net subscription revenue for the unexpired 19 months after credit for avoided costs at 11% (revised down from the 13% originally pleaded following review of Caspian's management accounts). I am comfortable that this is defensible, but Caspian must be ready to prove (i) the avoided-cost percentage and (ii) that the Harburn-specific headcount and infrastructure could not be redeployed, i.e. its inability to mitigate. A short forensic-accounting report will assist.

7. The clause 9.4 cap is 150% of the fees paid or payable in the 12 months before the breach. On the figures, fees in that period were of the order of £609,000, giving a cap of approximately £913,500 on the damages claim (the debt being arguably outside the cap). The combined claim therefore sits comfortably within the cap; the cap is more of a problem for Harburn's counterclaim than for ours.

Harburn's counterclaim

8. Harburn's £640,500 counterclaim depends on establishing defects beyond mere availability and on showing that the re-assurance cost was caused by Caspian rather than by Harburn's own reporting choices. On the present material it is thin and partly time-barred by the exclusive-remedy provision. I would resist any suggestion that it be tried as a preliminary issue; better to meet it on the facts at trial.

Settlement and ADR

9. Taking the debt claim as near-certain and applying a realistic discount to the loss-of-bargain claim and for the litigation risk presented by the counterclaim, a reasonable settlement bracket is £950,000 to £1,150,000 net to Caspian. I would advise Caspian to propose a mediation after disclosure but to issue and progress robustly in the meantime. The offer letter should be without prejudice save as to costs and pitched at the upper end of the bracket.

HARRIET STANFORD

Eldon Chambers, 4 Field Court, Gray's Inn, London WC1R 5EF

11 March 2026